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# Change We Can Work With

Obama demonstrates both the intellectual leadership and temperament that could turn growing despondency over the battered world economy into a positive view of the future

**N**ever in living memory has the election of one man been more critical. The reason is because recent years have seen the US go from the most powerful economy and power in the world to one that's the most impaired in terms of economy, power and prestige and reduced to becoming the largest borrower.

History has already been made by Barack Obama becoming President of the USA. The election of a man of mixed ethnicity in many ways is representative not just of 21st century America but also the world. It will reverse the image of America abroad and refresh its spirit at home. The US is in urgent need of both, and given its dominant presence in the world economy, it's in the interest of the international community that this happens.

Our economy has developed deeper linkages with the US around increased trade, currency and investment. India Inc is one of the largest employers in the US as was pointed out in a recent FICCI report, on the back of recent acquisitions and investments by a large number of Indian companies like Wockhardt, TCS etc. All this has significantly increased the risks and impacts of a US recession on our economy.

Therefore, the biggest expectation for India from the new President is the reversal of the decline of the US economy. He has talked about pumping in \$50 billion and tax breaks to the middle class to "kick-start the US economy". Our exporters should be preparing to take advantage of this coming resurgence of US demand and the Government must ensure that our exporters are enabled for this coming opportunity.

This new spirit and presidency would no doubt rejuvenate the US but this will also be on the back of changes in the way the US will do its business. His statement "I will stop giving tax breaks to companies that ship job overseas and start giving them to companies that create good jobs in America" is prima facie worrying. But look deeper and you realise the opportunity that this offers. Indian businesses can engineer broad changes in the outsourcing structure—with more emphasis on on-shore projects and in-

vestments by Indian companies with tax and other incentives to encourage this—and yet profit and grow.

During his campaign, Obama has repeatedly talked about making the US economy competitive—this will redefine the strength of the dollar, which is currently at its strongest levels on the back of flight to safety of the currency back to the US. We can also expect this new US administration be more aggressive in trade negotiations since he has said "the US will fight for a trade policy that opens up foreign markets to support good American jobs". As he said "it was 'only natural' that the world's oldest and largest constitutional democracies should enjoy 'strong relations'. America and India share many common goals and interests and the US is New Delhi's largest trading and investment partner."

He also represents a hope that there will be fresh thinking on some of the other international challenges of global warming, renewable energies and reduced dependence on hydrocarbons—both of which are as crucial for India. One of the biggest negatives dragging down the world economy has been this growing sense of despondency and the vacuum of credible international leadership. Obama has demonstrated both intellectual leadership and temperament that could turn this despondency into a positive view of the future. I put a premium on this.

Obama has not only brought hope back to his country but has also displayed an uncanny knack to bring clarity to complex issues. The emphasis on inclusiveness was embedded in his acceptance speech where he said we cannot "have a situation where Wall Street prospers and Main Street suffers". As he kick-starts the American economy, India can profit from growth.

Obama represents a new, fresh opportunity for the future of the world and India in particular. Given his background, his international upbringing, intellect and publicly articulated values and ideals around democracy and pluralism, India can and must play an important partnership role with the US in shaping the world of today and tomorrow, starting with the coming G-20. ■

